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Canada Keeps Reaching for a Royal Commission to Get Tax Reform. There's a better way forward.

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Calls for a full review of Canada's tax system tend to come in waves. Since the Carter commission on taxation reported in 1966, there have been calls to repeat the process with another Royal Commission of inquiry or something similar. At times of economic uncertainty, calls for comprehensive tax reform seem to gain in frequency and urgency. What gets far too little attention is the question that actually decides whether such a review would succeed: what kind of body should take on the review?

In a new article in the Symposium section of the *Canadian Tax Journal*, Yves Giroux and I argue that the two options Canada habitually reaches for — the established technical consultation between officials and tax professionals, or a time-limited public body such as an advisory panel or a Royal Commission — are both poorly suited to the task. What the work actually requires is a permanent public body.

The consultations we routinely use do not give voice to all taxpayers

When federal officials consult on tax policy through routine mechanisms, the people most likely to respond are representatives of the professional tax community. They bring real expertise, and their input can frequently improve the design and administration of tax measures.

But, tax professionals owe a duty of care to their clients — which means their recommendations may serve those clients' interests rather than the public interest, and those clients are typically businesses and wealthy individuals. Moreover, these consultations are on highly technical matters, generally with tight timelines, restricting the number of outside voices that can participate.

In a tax system where every resident is a taxpayer, whether through income or consumption taxes, that leaves an obvious gap. As we write in the paper, "major policy changes to the tax system should rest on good evidence, broad consensus or rigorous debate where consensus is not possible, and inclusive and transparent processes." The work to build consensus or at least enable rigorous debate takes time. In fact, in something as broad and complex as tax reform, it's a continuous

process. The historical record is pretty clear that tax reform is most often successful when it is incremental, rather than a sweeping single package of changes.

Why temporary bodies, like advisory panels and Royal Commissions, aren't up to the task

People who advise on tax changes should be able to defend that advice as it moves through the policy process. Members of temporary bodies cannot: once the final report is released, they have no further role, and confidentiality and conflict-of-interest rules often discourage them from discussing the work at all. Meanwhile governments should be accountable for what they do with advice they themselves requested. A disbanded temporary body makes that too easy to avoid. Furthermore, with a temporary body, there's just one opportunity to appoint experts, set a mandate, and issue a final report.

The external events and pressures on tax policy don't sit still for anyone. Priorities shift with events, with a trading partner's change of direction, with new analysis that reframes the problem itself. A tax system needs periodic renovation as a matter of ordinary maintenance — and because its parts are so interrelated, that maintenance means also considering how the parts work together, regularly. In short, tax reform is not a one-and-done project.

Two international examples of using public funds for tax reform analysis and debate

The United Kingdom's Mirrlees Review is perhaps the most influential recent attempt at a comprehensive package of tax reforms. Launched in 2007 and published in 2010 and 2011, it was an academic research partnership, and it remains a widely cited reference on both sides of the Atlantic. Its record of adoption is decidedly mixed. Its proposal to consolidate household cash transfers produced Universal Credit, a major social program whose implementation has proved far more complex than anticipated, with several unintended consequences. Its carbon pricing recommendation fared better. Its proposal to replace the inheritance tax went nowhere. The review did help lay the foundation for the UK Office of Tax Simplification — which the government closed in 2022, after a report it did not care for, and has not revived despite a change of government.

Australia offers a contrasting case. Its Board of Taxation, established in 2000, is a permanent body mandated to advise the Treasurer. Its members serve rotating terms, allowing for renewal. Its reports are public and searchable back to its founding, improving transparency. When the Government of Australia asks the Board a specific question on tax policy, that question is made public. That last practice creates the conditions for accountability if a government later rejects advice it asked for. But the board is tightly constrained in what it can pursue on its own initiative: its proactive consultation work is limited and explicitly excludes substantive policy change. The Australian model has traded ambition and public reach for proximity to decision makers.

Together, the two cases show the trade-off plainly. Independence buys ambition at the cost of near-term influence; proximity buys influence at the cost of scope.

What a permanent and publicly-funded Canadian body could look like

We set out five design choices that would determine what such an organization could actually do.

Duration: Make it permanent. It should be able to host a rotating mix of experts from the tax profession, academia, and the public service — including secondments from all orders of government in the federation. Its governance should ensure permanent involvement of provincial governments, making the organization explicitly national rather than federal, reflecting shared jurisdiction in the area of tax policy in Canada.

Mandate: Make it as broad as possible. It should be able to take referred questions from federal and provincial governments, with both the question and the resulting analysis made public. It should also be able to initiate its own studies, focused on medium-term issues rather than live political debates — which means staying out of measures currently before Parliament or a provincial legislature.

Autonomy: Day-to-day independence from government, with accountability to Parliament for public funds (assuming federally-sourced funding). Westminster governance demands that Parliament retain oversight on public spending and that only the democratically accountable government can make or amend tax policy. Tax policy is necessarily political and not always popular. Autonomy, with accountability, means that even difficult or challenging ideas for tax change can get a fair hearing.

Accountability: It's essential. A publicly-funded body needs to be able to report on how it used public resources and the value it created. The staff inside a publicly-funded body, even rotating cadres of experts, should be bound by the same conflict-of-interest and information-security rules as public servants.

Access to information resources: Making legal changes. For the body to analyze the tax system on a par with officials, the *Income Tax Act* and the *Excise Tax Act* would need amending to let the Canada Revenue Agency share tax information, in sufficient detail, with a new public body for research, analysis, and public engagement.

Why this matters

Taxation sits at the core of the social contract between a state and its citizens. Neither the legislative nor the executive branch has yet found a way to conduct ongoing, comprehensive review of that contract, and the competitive nature of partisan politics works against the patient business of building support for a simpler, more efficient, fairer system.

In a system built on largely voluntary reporting and compliance, transparency and consent aren't just democratic pieties — they are what makes tax collection work. There is much to be gained from opening that contract to public scrutiny. We trust it is robust enough to withstand it.

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